

25STCV37863 25STCV37863

County: los-angeles

Division: Civil Law and Motion

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Case Number: 25STCV37863 Hearing Date: September 10, 2026 Dept: 834

Superior Court of California

County of Los Angeles

Department 834

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F4 SANTA FE SPRINGS LENDER, LLC,

Plaintiff(s),

vs.

BR SFS,

LLC,

Defendant(s).

Case No.:

25STCV37863

Hearing Date:

September 10, 2026

[TENTATIVE]

ORDER RE: OSC RE: OSC RE: CONTEMPT

In response to Court-appointed receiver Michael Fiorina's ("Receiver") ex parte application for enforcement of the receivership, the Court ordered defendant BR SFS, LLC ("Borrower") to show cause why the Court should not set an order to show cause ("OSC") re: contempt.

The Court (1) orders Borrower to show cause why it should not be sanctioned for failure to comply with the Court's orders; (2) continues the OSC re why Court should not set an OSC re contempt; and (3) orders Borrower and Operator to produce several categories of documents.

I.

Background

On December 26, 2025, F4 Santa Fe Springs Lender, LLC ("Lender") filed its complaint against Borrower for judicial foreclosure and specific performance of deed of trusts including assignment of rents, appointment of receiver, and injunctive relief.

On January 21, 2026, the Court heard Lender's ex parte application for appointment of receiver, temporary restraining order ("TRO"), and OSC re: confirmation of appointment of receiver and for preliminary injunction. After briefing and oral argument, the Court continued the hearing to January 23, 2026 to allow the parties to address certain evidentiary issues.

On January 23, 2026, the court heard and granted Lender's continued ex parte application. The Court set an OSC re: confirmation of appointment of receiver for February 17, 2026. The Court issued the TRO and Order Appointing Receiver appointing Michael Fiorina as rents and profits receiver the same day. On January 26, 2026, Receiver filed his oath of receiver and undertaking. On February 17, 2026, the Court heard the OSC re: confirmation of appointment of receiver and confirmed Michael Fiorina as Receiver.

On March 3, 2026, Borrower filed its answer to the complaint.

On July 1, 2026, the Court heard Receiver's ex parte application for an order compelling turnover of all funds derived from the Property in compliance with the Order Appointing Receiver, authorizing Receiver to hire a forensic accountant, authorizing Receiver to hire counsel, and

issuing an OSC re: contempt. The Court granted the application in part, granting Receiver authority to engage SandDollar Financial, LLC ("SandDollar") as a forensic accountant and granting Receiver authority to engage Buchalter LLP as counsel. The Court denied Receiver's request for an OSC re: contempt. The Court denied Receiver's request for an immediate turnover order as to the April and May 2026 revenues without prejudice and set an OSC re: turnover for July 16, 2026. The Court again ordered Borrower and its property operator Bridgeland Resources, LLC ("Operator") to fully cooperate with the Receiver.

On July 16, 2026, the Court heard the OSC re: turnover. The Court determined Borrower was in violation of the Order Appointing Receiver, and ordered Borrower to turn over all gross proceeds for April and May 2026 by July 24, 2026.

On August 21, 2026, the Court heard Receiver's ex parte application for instructions and enforcement of the receivership order. The Court denied the ex parte application, but issued the instant OSC re: OSC re: contempt (that is, an order to show cause why this Court should not set an OSC re: contempt). The Court directed Borrower "to file a meaningful written response, supported by competent declarations, addressing the allegations and requests for relief raised in the Receiver's August 19, 2026 ex parte application," no later than 2:00 p.m. on September 2, 2026. The Court also ordered that Receiver may file a reply and must file a status update, each by 2:00 p.m. on September 8, 2026. On September 2, 2026, at 6:24 p.m., Borrower untimely filed its written response and supporting declarations. On September 8, 2026, Receiver timely filed its reply and status update.

II.

Analysis

The receiver is an agent and officer of the appointing court.[1] (Cal. Rules of Court, rule 3.1179(a); *City of Santa Monica v. Gonzalez* (2008) 43 Cal.4th 905, 930 ["Gonzalez"]; *People v. Stark* (2005) 131 Cal.App.4th 184, 204 ["Stark"].) "The Receiver is but the hand of the court to aid it in preserving and managing the property involved in the suit for the benefit of those to whom it may ultimately be determined to belong." (*Free Gold Min. Co. v. Spiers* (1901) 135 Cal.130, 132.) Property in receivership remains under the court's control and continuous supervision. (*Gonzalez* at 930; *Stark* at 204.) The functions and powers of a receiver are controlled by statute, by the order of

appointment, and by the court's subsequent orders. (Gonzalez at 930; Cal-American Income Property Fund VII v. Brown Development Corp. (1982) 139 Cal.App.3d 268, 273.)

In its ex parte Order Appointing Receiver, later confirmed after an OSC re: confirmation of receiver, the Court ordered, inter alia, that the Receiver shall operate the property and take possession of all accounts relating to the property. In the included temporary restraining order, the Court ordered Borrower, inter alia, to “[i]mmediately turn over to the receiver all keys, books, documents, and records relating to the property and advise the receiver of federal taxpayer identification numbers relating to the property.” The Court renewed this order in the preliminary injunction included in the Order Confirming Appointment of Receiver.

This Court also ordered in the Order Appointing Receiver: “The receiver and the parties may at any time apply to this court for further instructions and orders and for additional powers necessary to enable the receiver to perform the receiver’s duties properly.”

This Court, on multiple prior occasions, has found Borrower in defiance of this Court’s orders, to the point where this Court on July 1, 2026 “again ordered [Borrower and Operator] to fully cooperate with the Receiver.”

Borrower has shown no justification for its noncompliance in response to this OSC. Borrower styles its untimely response as its “Further Opposition to Ex Parte Application by Receiver Michael Fiorina Continued to September 10, 2026,” but makes no mention of contempt or any OSC. Borrower cites no court case, statute, or other legal authority. Most critically, Borrower has not argued that it had legal justification excusing it from complying with the Court’s orders. Borrower instead uses its briefing to allege a series of misconduct and incompetence by Receiver and presupposes that such misconduct and incompetence entitle it to refuse demands by Receiver and defy Court orders. Borrower has not, to date, sought affirmative relief to correct any purported improper conduct by the Receiver. Borrower is not free to disregard the Court’s orders and attempt to justify its noncompliance only after Receiver seeks relief.

In addition, the Court finds that Borrower’s filings do not constitute the “meaningful written response, supported by competent

declarations" that this Court ordered on August 21, 2026. Borrower neither addresses nor substantiates multiple categories of information identified in the Receiver's August 19, 2026 application. This includes an accounting for the April and May 2026 revenues; shut-in dates or operational basis for the shut-in; restoration plan or identification of any actual impediment to restoring pipeline service or production; documentation regarding the April 19 spill, pipeline repair, or insurance; CalGEM compliance materials or abandonment-related records; current permit lists, regulatory correspondence, or other compliance documentation; utility records; or operational, technical, engineering, reservoir, or budgetary materials necessary for the forensic accounting or for the Receiver's preservation duties. Borrower did not provide verified responses addressing these subjects and did not identify when any missing information would be produced.

In his declaration, Will DePuy ("DePuy") asserts Borrower fully complied, cooperated, and timely responded. (DePuy Decl., ¶ 10.) DePuy also asserted, "Per the above Timeline Summary and attached emails, Bridgeland has timely produced all documents requested." (DePuy Decl., ¶ 38.) Yet despite DePuy's conclusory statements, the DePuy Declaration affirmatively shows noncompliance with Receiver's required weekly reports. (See e.g. DePuy Decl., ¶¶ 6, 23, 26.) Similarly, Borrower's supplemental brief implies Borrower fully complied by repeatedly asserting Borrower provided responses. Yet the responses Borrower provides, as found in exhibits to the DePuy Declaration, do not reflect turnover to and complete cooperation with Receiver.[2] (See e.g. DePuy Decl., Ex. D at pp. 1-2, Ex M at p. 2, Ex. O. at pp. 1-4.) These responses include failures to produce documents on several bases including that they are not digitized, have been previously produced to Lender, and/or that the information is public. (DePuy Decl., Ex. O at pp. 1-4.) In some cases, Borrower has conditioned its compliance on certain actions by Receiver. (DePuy Decl., Ex. O at p. 2.)

In sum, Borrower has neither complied with the Court's orders, nor provided any legal justification for noncompliance.

III.

Conclusion

Pursuant to the Court's continuing jurisdiction over the receivership estate, the Court hereby ORDERS Borrower and Operator to produce:

(1) all April, May, June, July, and subsequent receivership revenues, with complete supporting accounting backup;

(2) all technical, operational, production, reservoir, engineering, maintenance, field, leak, pipeline, permitting, tax, utility, insurance, and regulatory records requested by the Receiver and SandDollar;

(3) all CalGEM materials, including notices of violation, testing records, engineering analyses, abandonment-related documents, compliance plans, and any materials relating to CalGEM Order No. 1664;

(4) a verified explanation of all shut-in decisions, including the basis, date(s), persons involved, and supporting communications;

(5) a verified explanation identifying any actual, existing impediments preventing restoration of pipeline operations or production, supported by documentation;

(6) all materials the Receiver requested regarding operational budgets, production forecasts, reserve reports, engineering studies, geologic studies, waterflood analyses, sweep-efficiency information, and valuation materials; and

(7) all records, access, and cooperation necessary for SandDollar to complete the forensic accounting authorized by this Court.

All verified responses shall be executed under penalty of perjury by a knowledgeable representative of Borrower and Operator. The verified responses, documents, and materials identified above shall be produced to the Receiver no later than September 28, 2026 at 4:00 p.m. A rolling production is advisable.

Borrower and Operator shall not provide partial or conditional responses, "in process" notices, references to prior productions to the Lender, or statements that information is publicly available. All responsive materials shall be produced directly to the Receiver and SandDollar in organized, text-searchable format, unless the nature of the item (e.g., maps or storage media) makes such formatting impracticable. Any assertion that a requested document does not exist must be supported by a verified declaration identifying the custodian, the efforts undertaken to locate the record, and the

basis for concluding that the record does not exist.

Failure to comply with these orders and this production deadline may constitute additional grounds for sanctions or contempt.

On the Court's own motion, the hearing on OSC re: why the Court should not set an OSC re: contempt is continued to October 16, 2026 at 10:30 a.m. The Court likewise sets an OSC re why the Court should not impose sanctions in the amount of \$3,000 pursuant to CCP section 177.5 against Borrower (for violation of the Court's 7/16/26 and 8/21/26 orders) for the same date and time in Department 834.

Parties may each submit a single written position statement, not to exceed 10 pages, addressing both OSCs. Those should be filed and served no later than October 6, 2026.

Also no later than October 6, 2026, the Receiver must file and serve an affidavit with the facts that constitute the contempt. (CCP §1211(a).)

Finally, the Court sets a further Status Conference re Receivership for October 16, 2026 at 10:30 a.m. Receiver's status report is due at least 3 calendar days in advance of the hearing; courtesy copy should be e-mailed to SMCDept834@LACourt.ca.gov.

Date: September 10, 2026

HON. TIANA J. MURILLO

PLEASE TAKE NOTICE:

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Parties

are encouraged to meet and confer after reading this tentative ruling to see if they can reach an agreement.

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If

a party intends to submit on this tentative ruling, the party may send an email to the court at SMCDEPT834@lacourt.ca.gov with the Subject line "SUBMIT" followed by the case number. The body of the email must include the

hearing date and time, counsel's contact information, and the identity of the party submitting.

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Unless

all parties submit by email to this tentative ruling, the parties should arrange to appear remotely (encouraged) or in person for oral argument. You should assume that others may appear at the hearing to argue.

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If

the parties neither submit nor appear at hearing, the court may take the matter off calendar or adopt the tentative ruling as the order of the court. After the court has issued a tentative ruling, the court may prohibit the withdrawal of the matter without leave.

[1]

As Receiver is not a party or an agent of any party, stipulations by the parties are not binding on the Receiver.

[2]

The Court also notes that, even though the exhibits to the DePuy Declaration were largely emails and therefore already in electronic, text-searchable format, Borrower provides them to the Court as non-searchable images, and those images in many cases cut off the text of the emails. (See e.g. DePuy Decl., Ex. P.)